

Table 15.1 Identification Guidelines

Characteristic	Discussion
Appearance	Price climbs at the start of the pattern, waving up and down in a narrow range, then price explodes upward and soars to form a significant bump. Price tumbles thereafter.
Arithmetic scale	Do not use a semilogarithmic scale; instead use an arithmetic one.
Rising trendline	A trendline connecting the lows rises steadily. Don't allow any patterns with horizontal or near-horizontal trendlines. The trendline usually rises at about 30–45 degrees (although this varies with scaling). Avoid trendlines that are too steep (over 60 degrees).
Lead-in phase, lead-in height	The lead-in phase is the section just before price moves up sharply in the bump phase. Lead-in price should have a high–low range of at least \$1 (preferably \$2 or more), as measured from the highest high to the trendline, vertically, during the first quarter of the overall pattern length. Minimum lead-in length is 1 month (but be flexible) with no maximum value.
Rounded bump	Price rises up (trendline slope is 45–60 degrees or more) on high volume usually after a favorable event (unexpectedly good earnings, an analyst recommends or upgrades the stock, higher store sales, that sort of thing). Price eventually rounds over and declines back to the 30-degree trendline. The bump must be at least twice the lead-in height, measured from highest high to the trendline, vertically.
Dual bumps	A second bump may form after the first bump ends.
Downhill run	After returning to the trendline, price may bounce up and form additional bumps or slide along the trendline. Eventually price drops through the trendline and continues down.